

THE MARKETS IN FY25



THE NIFTY GAINED OVER 5% IN FY25 BUT IS DOWN 15% FROM ITS 52-WEEK HIGH



FII's OFFLOADED ₹2.16 LAKH CRORE BETWEEN OCTOBER 2024 AND MARCH 2025, DRIVING MARKET WEAKNESS



THE US TARIFF WAR, TRUMP'S PROTECTIONIST POLICIES, AND SLOWING EARNINGS GROWTH INTENSIFIED VOLATILITY



PRECIOUS METALS OUTPERFORMED EQUITIES, WITH GOLD AND SILVER RALLYING OVER 30%



DEBT FUNDS GAINED OVER 9%, OUTPERFORMING EQUITIES, DRIVEN BY RATE CUT EXPECTATIONS



ANALYSTS EXPECT A 50-75 BASIS POINTS REPO RATE CUT IN FY26, BOOSTING FIXED-INCOME INSTRUMENTS



EXPERTS RECOMMEND A DIVERSIFIED PORTFOLIO WITH EXPOSURE TO EQUITIES, DEBT, AND GOLD FOR STABILITY

higher-yielding debt instruments.

Experts say FII flows will decide market direction for the next few quarters. "India's markets have historically attracted FIIs due to strong growth potential. If India continues to demonstrate economic resilience, maintain stability in key policies, and provide favourable market conditions, it could see increased FII activity again," says Vipul Bhowar, Senior Director, Listed Investments, Waterfield Advisors.

Akhil Mittal, Senior Fund Manager-Fixed Income, Tata Asset Management, shares the view. "US rates will move downwards, albeit slowly. Markets expect the Federal Reserve to cut rates by 50 basis points in 2025. US yields may move down by 25-50 basis points in 2025. While risk assets and emerging markets, including India, are facing volatility, inherent strength and stable macros will ensure that India remains among the favoured investment destinations. Beyond near-term uncertainty, Indian assets will do well and foreign flows will resume in the next couple of months," he says.

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THE ROAD AHEAD

The Indian economy grew 6.2% in the quarter ended December 2024, down from 9.5% in the same quarter a year ago. According to the CMIE Economic Outlook, it is projected to report its slowest growth in four years (5.95%) in FY25.

So, where are the markets headed, and how can an investor generate alpha? "The FY25 earnings base is relatively low with year-on-year growth expected to be under 5%. The market has corrected significantly compared to the earnings downgrade of 7-8%. As a result, it has already priced in lower earnings for FY26. We expect